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Impartial Analysis – Measure M – Gilroy Unified School District – Bonds

California law permits school districts to issue bonds with the approval of 55% of district voters. Such bonds may be used only for construction, reconstruction, rehabilitation, or replacement of school facilities, including furnishing and equipping those facilities, or the acquisition or lease of real property for school facilities.

The Board of Education (Board) of the Gilroy Unified School District (District) has placed on the ballot a Measure authorizing the issuance and sale of up to $295 million in such bonds.

As identified in the Measure, projects may include but are not limited to:

- Replacing portable classrooms with permanent classrooms;
- Renovating, constructing, and/or modernizing classrooms for current educational standards, including acquiring, installing, and/or upgrading technology equipment, fixtures, and infrastructure;
- Reconfiguring, repairing, resurfacing, and/or expanding parking lots and related areas;
- Constructing, improving, and/or renovating restrooms;
- Modernizing, expanding, and/or upgrading classrooms, common areas, and school support facilities such as libraries, multipurpose rooms, and cafeterias;
- Constructing, renovating, and/or acquiring and installing physical education facilities and playfields;
- Removing, repairing, and refinishing building and site areas damaged by dry rot, water, and termites;
- Making energy-efficiency upgrades;
- Repairing or replacing roofs; and
- Upgrading, constructing, and/or installing safety and security improvements such as fencing, lighting, fire suppression systems, and emergency communication systems.

Bond proceeds may be spent on eligible project costs, such as planning and design, hazardous materials sampling and removal, seismic evaluations, furnishing school facilities, and all other costs and works necessary or incidental to the listed bond projects. In accordance with state law, the Measure states that bond proceeds would not be used for teacher or administrator salaries or other school operating expenses.

These general obligation bonds will be payable from ad valorem taxes levied on taxable real property within the District. The Measure states that the best estimate of the average annual tax rate to be levied to repay the proposed bonds is $59.14 per $100,000 of assessed value, that the final fiscal year in which the tax is anticipated to be collected will be 2059-2060, and that the best estimate of the total debt service during the life of the bond, including principal and interest, is $623.3 million.

State law requires the District to take certain steps to account for the bond proceeds. Accordingly, the District has listed in the Measure the specific projects to be funded, including a certification that, in developing the list, the Board evaluated safety, class size reduction, and information technology needs. Additionally, the District will deposit the bond proceeds into a Special Bond Proceeds Account, appoint an independent citizens' oversight committee, conduct annual independent performance and financial audits, and file annual reports with the Board stating the amount of funds collected and expended and the status of any projects authorized to be funded from bond proceeds.

A "yes" vote is a vote to authorize the issuance and sale of up to $295 million of general obligation bonds to fund school facilities projects as described in the Measure.

A "no" vote is a vote not to authorize the issuance and sale of the bonds.

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FILED
AUG 18 2026
REGISTRAR OF VOTERS
COUNTY OF SANTA CLARA
By [redacted] Deputy